

Building a ₹10,00,000 Diversified Equity Portfolio

*A fundamentals-first stock selection and allocation strategy across six sectors of the Indian economy —
Defence, Energy, FMCG, Banking & Finance, Healthcare and Infrastructure.*

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EXECUTIVE SUMMARY

Portfolio at a Glance

Seven fundamentally-screened stocks across all six mandated sectors, sized by conviction and risk-adjusted return potential.

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Stocks selected

6 / 6

Sectors covered

₹10.0L

Capital deployed

~19%

Portfolio-wtd. avg. ROE

Core defensives (46%)

Power Grid, Sun Pharma and Nestle India anchor the book with regulated / consumer-staple cash flows and low leverage.

Structural growth (24%)

Bharat Electronics and Apollo Hospitals ride India's defence-indigenisation and healthcare-demand tailwinds.

Cyclical alpha (25%)

Motilal Oswal (capital markets) and HG Infra (roads/EPC) add torque tied to capex and market-cycle upswings.

How We Screened for Fundamental Health

1 Profitability

ROE and ROCE consistently above sector-appropriate thresholds (generally >15%), assessed on 3-5 year averages, not a single good year.

2 Balance-sheet strength

Low or well-covered debt (Debt/Equity), high interest coverage, and — where available — a debt-free or near debt-free track record.

3 Growth durability

5-year sales / profit CAGR, order-book or AUM visibility, and evidence the growth is broad-based rather than one-off.

4 Governance & ownership

Promoter holding, pledge status, and (for PSUs) strategic government backing as a quality signal.

5 Valuation discipline

P/E, P/B and EV/EBITDA benchmarked against 5-year history and peer medians to avoid overpaying for quality.

6 Cash conversion

Operating cash flow and free cash flow checked against reported profit to flag aggressive accrual accounting.

DIVERSIFICATION

Why These Six Sectors

Each sector responds differently to the economic cycle — the combination is chosen to smooth returns across scenarios, not just to tick a diversification box.

Defence

Multi-decade order visibility from Atmanirbhar Bharat and indigenisation mandates; largely insulated from consumer-demand cycles.

Energy

Regulated transmission / generation utilities offer bond-like, inflation-linked cash flows that stabilise the book.

FMCG

Non-discretionary consumption provides earnings resilience through recessions and rate cycles.

Banking & Finance

Direct leverage to capital-market activity, credit growth and India's formalising financial-savings pool.

Healthcare

Structural, demographic-driven demand (ageing population, rising insurance penetration) with low cyclicity.

Infrastructure

Direct beneficiary of the government's capex push; higher beta but strong medium-term order pipelines.

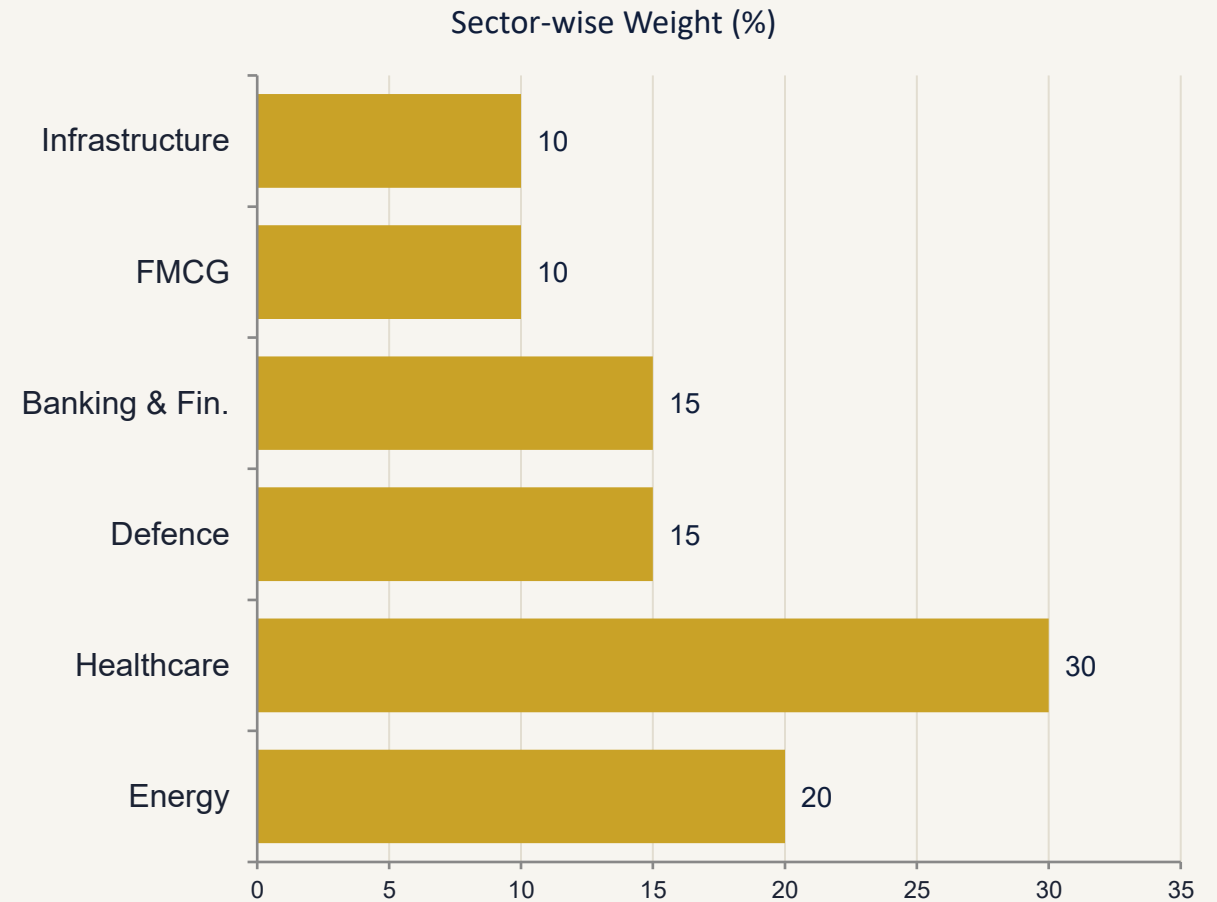
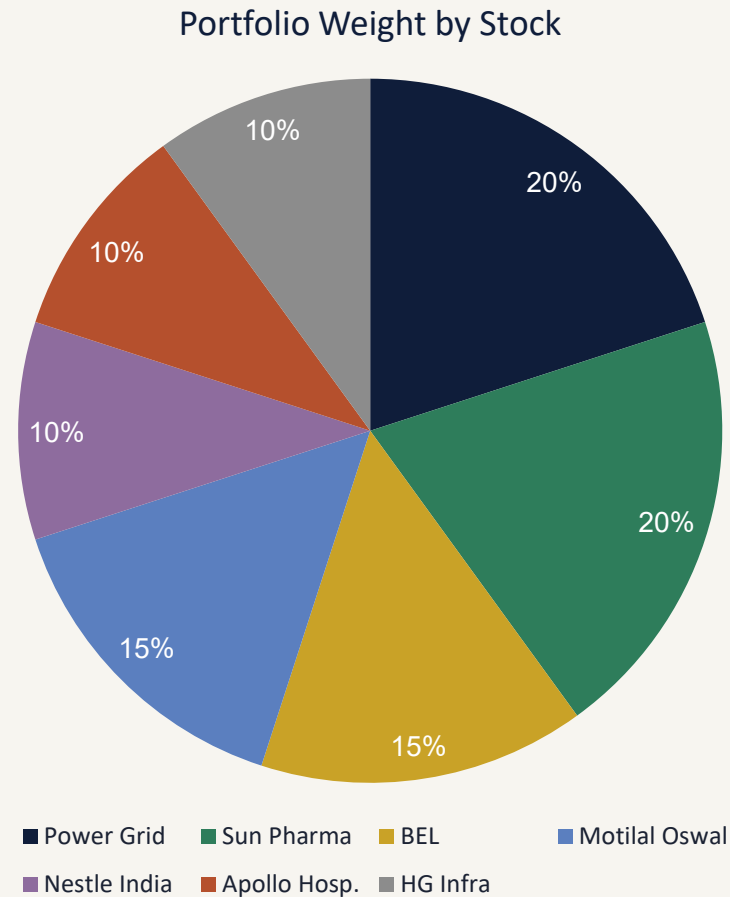
THE PORTFOLIO

Seven Stocks, ₹10,00,000 Deployed

Stock	Sector	CMP (₹)	Weight	Amount (₹)	Approx. Shares	Call
Bharat Electronics	Defence	420	15%	1,50,000	357	BUY
Power Grid Corp.	Energy	291	20%	2,00,000	687	BUY
Nestle India	FMCG	1,460	10%	1,00,000	68	HOLD
Motilal Oswal Fin. Serv.	Banking & Finance	800	15%	1,50,000	187	BUY
Sun Pharmaceutical	Healthcare	1,850	20%	2,00,000	108	BUY
Apollo Hospitals	Healthcare	7,100	10%	1,00,000	14	ACCUMULATE
HG Infra Engineering	Infrastructure	590	10%	1,00,000	169	ACCUMULATE
TOTAL	6 sectors	-	100%	10,00,000	-	-

CMP = closing market price used for sizing at the time of construction (mid-2026). Share counts are rounded down; residual cash is treated as a rounding buffer.

Sizing Reflects Conviction and Risk



Healthcare (30%) and Energy (20%) anchor the portfolio for stability; Infrastructure and Nestle/Apollo are sized down to 10% each to cap exposure to valuation and execution risk.

DEFENCE

Bharat Electronics Ltd.

NSE: BEL | CMP ₹420 | Mkt Cap ₹2,99,774 Cr

BUY

27.8%

ROE (3-yr avg)

~0.00

Debt / Equity

23.6%

5-yr Profit CAGR

₹74,000 Cr

Order Book

INVESTMENT THESIS

- Almost debt-free Navratna PSU with a dominant, near-monopoly position in Indian defence electronics — radars, EW systems, communications and C4I.
- ₹74,000 Cr order backlog (~2.7x TTM revenue) gives multi-year revenue visibility, directly aligned with India's indigenisation and defence-capex push.
- 28% EBIT-level margins and a 34.5% dividend payout show a business that converts scale into shareholder returns, not just top-line growth.

KEY RISKS

- Rich valuation: P/E ~50x and P/B ~12.5x, a premium to its own history, priced for continued flawless execution.
- High debtor days (~170) — a structural feature of government-linked billing cycles — caps free-cash conversion versus reported profit (see DCF, Slide 15).

ENERGY

Power Grid Corporation of India

NSE: POWERGRID | CMP ₹291 | Mkt Cap ₹2,66,137 Cr

BUY

16.6x

P/E (TTM)

4.75%

Dividend Yield

₹15,928 Cr

FY26 PAT

66.6%

Dividend Payout

INVESTMENT THESIS

- India's dominant inter-state power-transmission utility — a regulated, quasi-monopoly business with predictable, RoE-linked tariff income.
- FY26 consolidated PAT of ₹15,928 Cr (+3% YoY); capex is re-accelerating to ~₹40,000 Cr for FY26 as new transmission corridors (solar-zone links, HVDC) are awarded, seeding the next growth leg.
- One of the highest, most reliable dividend yields (~4.75%) among large-caps — an anchor holding that lowers overall portfolio volatility.

KEY RISKS

- 5-year sales CAGR of only 3.35% — growth has been muted while the new capex cycle ramps up; near-term revenue can stay flat.
- Regulatory-tariff business: any adverse CERC tariff-order change would directly compress return-on-equity-linked income.

FMCG

Nestle India Ltd.

NSE: NESTLEIND | CMP ₹1,460 | Mkt Cap ₹2,75,170 Cr

HOLD / ACCUMULATE

92.3%

ROE (3-yr avg)

Almost nil

Debt Position

74.3%

Dividend Payout

~79x

P/E (TTM)

INVESTMENT THESIS

- India's most trusted packaged-foods franchise (Maggi, Nescafe, KitKat, Cerelac) with pricing power that protects margins through commodity cycles.
- Near-zero debt and a 92%+ three-year average ROE reflect an exceptionally asset-light, high-return business model — a genuine compounder.
- 62.76%-owning parent Nestlé S.A. gives access to global R&D, category innovation and premiumisation playbooks not available to domestic peers.

KEY RISKS

- Very rich valuation (P/E ~79x, P/B >50x) leaves little room for error; a single soft quarter can trigger sharp de-rating.
- 5-year sales growth of only 11.6% — deliberately sized at 10% weight to limit valuation risk while retaining defensive quality.

Motilal Oswal Financial Services

NSE: MOTILALOFS | CMP ₹800 | Mkt Cap ₹59,182 Cr

BUY

20.5%

ROE (long-term avg)

18.2%

ROCE

+26% YoY

AMC AUM Growth

AA+ (Stable)

Credit Rating

INVESTMENT THESIS

- A genuinely diversified financial-services platform — broking, asset management, private wealth and housing finance — with Annual Recurring Revenue now ~60% of net revenues, reducing dependence on volatile broking income.
- AMC AUM up 26% YoY to ₹1,55,449 Cr and Private Wealth AUM up 36% YoY to ₹1,96,716 Cr show genuine market-share gains, not just beta from rising markets.
- ICRA upgraded the long-term credit rating to AA+ (Stable) in FY26, reflecting improving balance-sheet quality even as the business scales.

KEY RISKS

- Capital-markets-linked earnings are inherently cyclical; a prolonged market downturn would hit broking and MTM-driven treasury income.
- Elevated standalone Debt/Equity of 1.73 (up from 1.22) — normal for a financial-services holding company, but worth monitoring.

Sun Pharmaceutical Industries

NSE: SUNPHARMA | CMP ₹1,850 | Mkt Cap ₹4,53,306 Cr

BUY**25.1%**

ROCE

~14.8%

ROE

+26.2% YoY

Q4 FY26 PAT Growth

Virtually nil

Debt Position

INVESTMENT THESIS

- India's largest pharmaceutical company and the world's 4th-largest specialty generics player, with a diversified US, India and emerging-markets footprint that reduces single-geography risk.
- Q4 FY26 consolidated net profit grew 26.2% YoY to ₹2,714 Cr on 12.8% YoY net-sales growth, alongside a virtually debt-free, ₹72,000+ Cr shareholder-funds balance sheet.
- A defensive healthcare anchor: 5-year EBIT CAGR of 20.8% comfortably ahead of the 11.4% sales CAGR, showing sustained margin expansion.

KEY RISKS

- US generics pricing pressure and periodic FDA/regulatory actions at manufacturing sites remain sector-wide risks.
- Valuation (P/E ~36-40x) sits at a premium to the broader pharma sector average, partly pricing in specialty-pipeline optionality that is still unproven at scale.

Apollo Hospitals Enterprise Ltd.

NSE: APOLLOHOSP | CMP ₹7,100 | Mkt Cap ₹1,27,976 Cr

ACCUMULATE

18.4%

ROE (latest)

17.9%

ROCE (latest)

17.9%

5-yr Sales CAGR

+35.9% YoY

Q4 FY26 PAT Growth

INVESTMENT THESIS

- India's largest private, pan-India integrated healthcare ecosystem — hospitals, pharmacy distribution (Apollo 24|7) and diagnostics — spanning 16 cities and multiple demand pockets.
- Both ROE (18.4% vs a 14.7% five-year average) and ROCE (17.9%) are at multi-year highs, evidence of genuine operating leverage as newer hospital beds mature.
- Structural tailwind: rising insurance penetration and an ageing population support durable double-digit demand growth well beyond a single business cycle.

KEY RISKS

- Leverage has risen alongside expansion (net debt/equity ~0.5-0.9x); large capex programmes need continued execution discipline.
- Premium valuation (P/E ~55-70x) means the stock is priced for sustained margin expansion — any capacity-addition delay could compress multiples quickly.

HG Infra Engineering Ltd.

NSE: HGINFRA | CMP ₹590 | Mkt Cap ₹3,954 Cr

ACCUMULATE

~9-10x

P/E (TTM)

17.1%

ROE

14.4%

ROCE

₹10,147 Cr

Order Book

INVESTMENT THESIS

- A 'good quality' rated EPC contractor (roads, and now railways, solar, BESS and power transmission) trading at a ~54% discount to peer-median P/E — the deep-value pick in the book.
- ₹10,147 Cr order book (~1.8x TTM revenue) plus fresh order wins of ₹5,500 Cr in the first two months of FY27 signal a recovering pipeline after a soft FY26.
- Lean, asset-light execution model with prudent working-capital management historically; management guides FY27 order inflow of ₹11,000-12,000 Cr.

KEY RISKS

- FY26 PAT margin compressed to 6.87% from 9.52% on execution delays and technical issues in the BESS segment — margin recovery is the key monitorable.
- Debt/Equity of 1.39 is elevated for the sector; infrastructure EPC names are inherently working-capital and interest-rate sensitive.

Diversification & Portfolio Risk

Concentration risk

No single stock exceeds 20% weight; the two largest positions (Power Grid, Sun Pharma) are both low-beta, cash-generative defensives — concentration is in stability, not in a single volatile bet.

Cyclical mix

Regulated utility (Power Grid) and consumer staple (Nestle) cash flows offset capital-markets-linked (Motilal Oswal) and capex-linked (HG Infra) cyclicalities, smoothing returns across the economic cycle.

Valuation risk

The two most expensive names by P/E — Nestle (~79x) and Apollo (~55-70x) — are deliberately capped at 10% each so a de-rating in either has a bounded portfolio impact.

Governance / policy risk

Two PSU-linked names (BEL, Power Grid) carry government-policy and budget-cycle sensitivity; both are balanced by privately-run, market-driven businesses elsewhere in the book.

Liquidity

All seven names are among the more liquid stocks in their respective market-cap bands, keeping entry/exit costs low relative to the ₹10L portfolio size.

BONUS TASK

DCF Valuation — Bharat Electronics Ltd.

BEL was chosen because it is almost debt-free with clean, disclosed operating cash flow — the cleanest candidate in the book for a standalone FCF-to-equity DCF.

Assumption	Value	Basis
Base-year Free Cash Flow	₹1,195 Cr	Operating cash flow ₹2,017 Cr – Capex ₹822 Cr (latest reported FY)
5-yr FCF growth rate	20% p.a.	Moderated vs. 23.6% historical 5-yr profit CAGR, reflecting a normalising growth base
Discount rate (WACC)	10%	As specified in the assignment brief
Terminal growth rate	4%	As specified in the assignment brief
Projection period	5 years	As specified in the assignment brief
Shares outstanding	~731 Cr	Market cap ÷ CMP (₹2,99,774 Cr ÷ ₹420) post the 1:2 split of Sep-2022
Net cash on balance sheet	₹8,058 Cr	Cash & equivalents ₹8,117 Cr less total debt ₹59 Cr

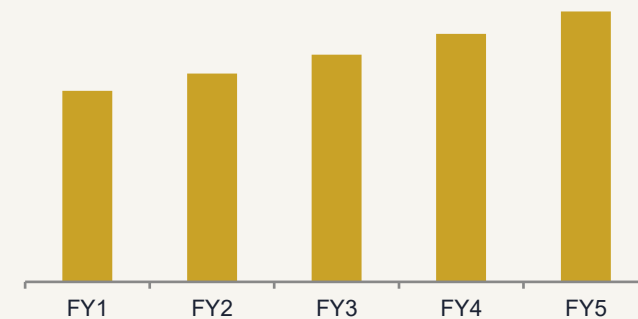
Formulae used: Terminal Value = $FCF_5 \times (1+g) / (r - g)$ | Enterprise Value = $\sum PV(FCF_{1-5}) + PV(\text{Terminal Value})$ | Equity Value = Enterprise Value + Net Cash | Intrinsic Value / Share = Equity Value ÷ Shares Outstanding

BONUS TASK

DCF Results & Verdict

Year	FY1	FY2	FY3	FY4	FY5
Projected FCF (₹ Cr)	1,434	1,721	2,065	2,478	2,974
Discounted FCF (₹ Cr)	1,304	1,422	1,552	1,693	1,847

PV of Annual FCF



Sum of PV (FY1-5 FCF)	₹7,818 Cr
Terminal Value (undiscounted)	₹51,550 Cr
PV of Terminal Value	₹32,013 Cr
Enterprise Value	₹39,831 Cr
(+) Net Cash	₹8,058 Cr
Equity Value	₹47,889 Cr

VERDICT

Intrinsic Value / Share: **₹65.5**

Current Market Price: **₹420**

OVERVALUED (DCF)

BEL's high debtor days limit FCF conversion versus reported profit; the market is pricing order-book growth and margin durability beyond what pure cash-flow-based valuation captures. Position sized at 15% (not higher) reflects this gap.

CONCLUSION

Key Takeaways

- 1 ₹10,00,000 deployed across 7 fundamentally-screened stocks spanning all 6 mandated sectors — no sector or stock left un-diversified.
- 2 Allocation is conviction-weighted: 46% in low-beta defensives (Power Grid, Sun Pharma, Nestle), 25% in structural growth (BEL, Apollo), 25% in cyclical alpha (Motilal Oswal, HG Infra).
- 3 Every pick clears a common fundamental bar — strong ROE/ROCE, manageable leverage, credible growth visibility — even where near-term valuation (Nestle, Apollo) or execution (HG Infra) carries risk.
- 4 The bonus DCF on Bharat Electronics is a reminder that fundamentals and price are not the same thing — quality can still be expensive, which is why position sizing, not stock selection alone, manages that risk.

Disclaimer: Figures are sourced from public filings, exchange disclosures and financial data platforms as of mid-2026 and are illustrative — this is not investment advice.

Thank You !!